

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

FIXED INCOME – CHINA AND JAPAN

OCTOBER 2026

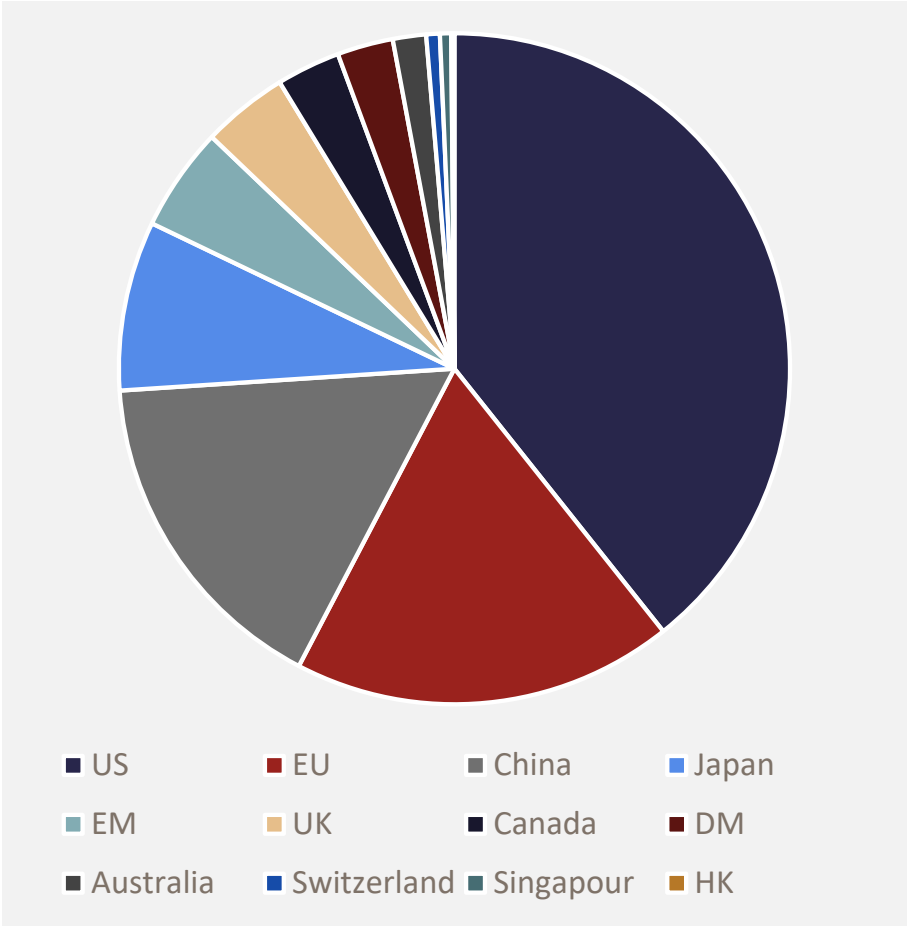
Slawomir Soroczynski
Global Chief Investment Officer: Fixed Income

MARKET OVERVIEW

GLOBAL FIXED INCOME MARKET OUTSTANDING

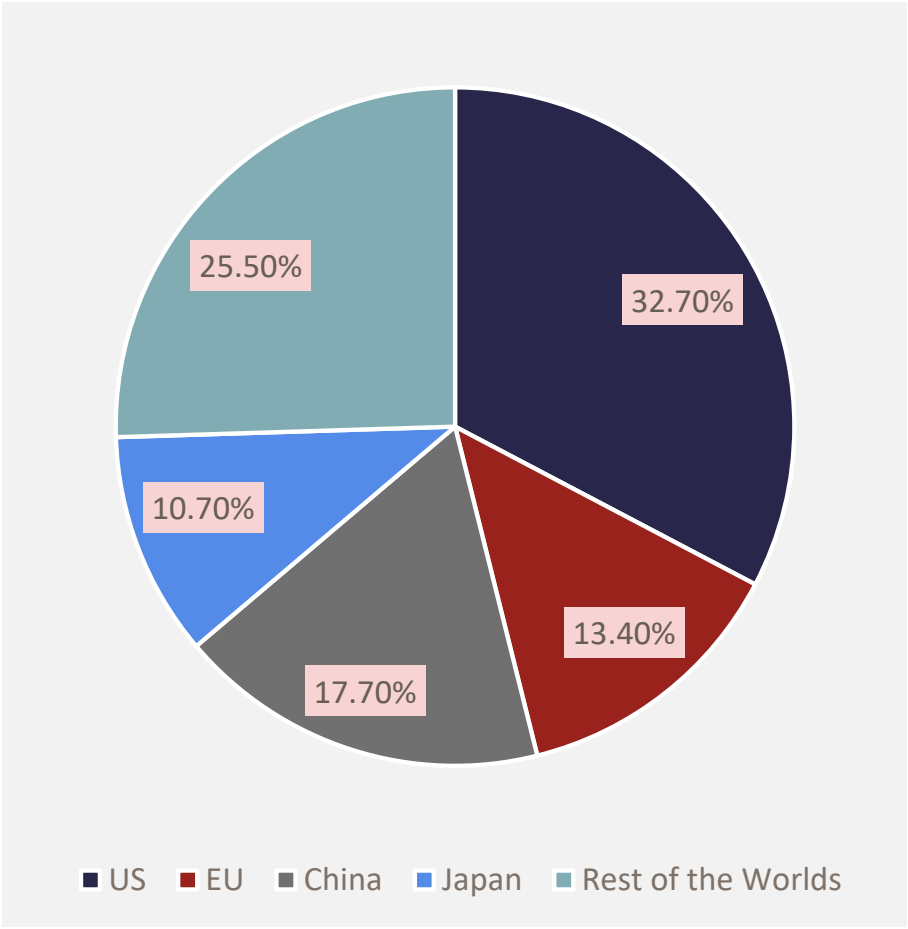
As of the end of 2025 the size of the global fixed income market exceeded $161tn

The size of the US part has grown to over $61.2tn



Source: BIS,SIFMA, September 2026

Government bonds represent the single largest segment of the fixed income market at 56% of total outstanding debt

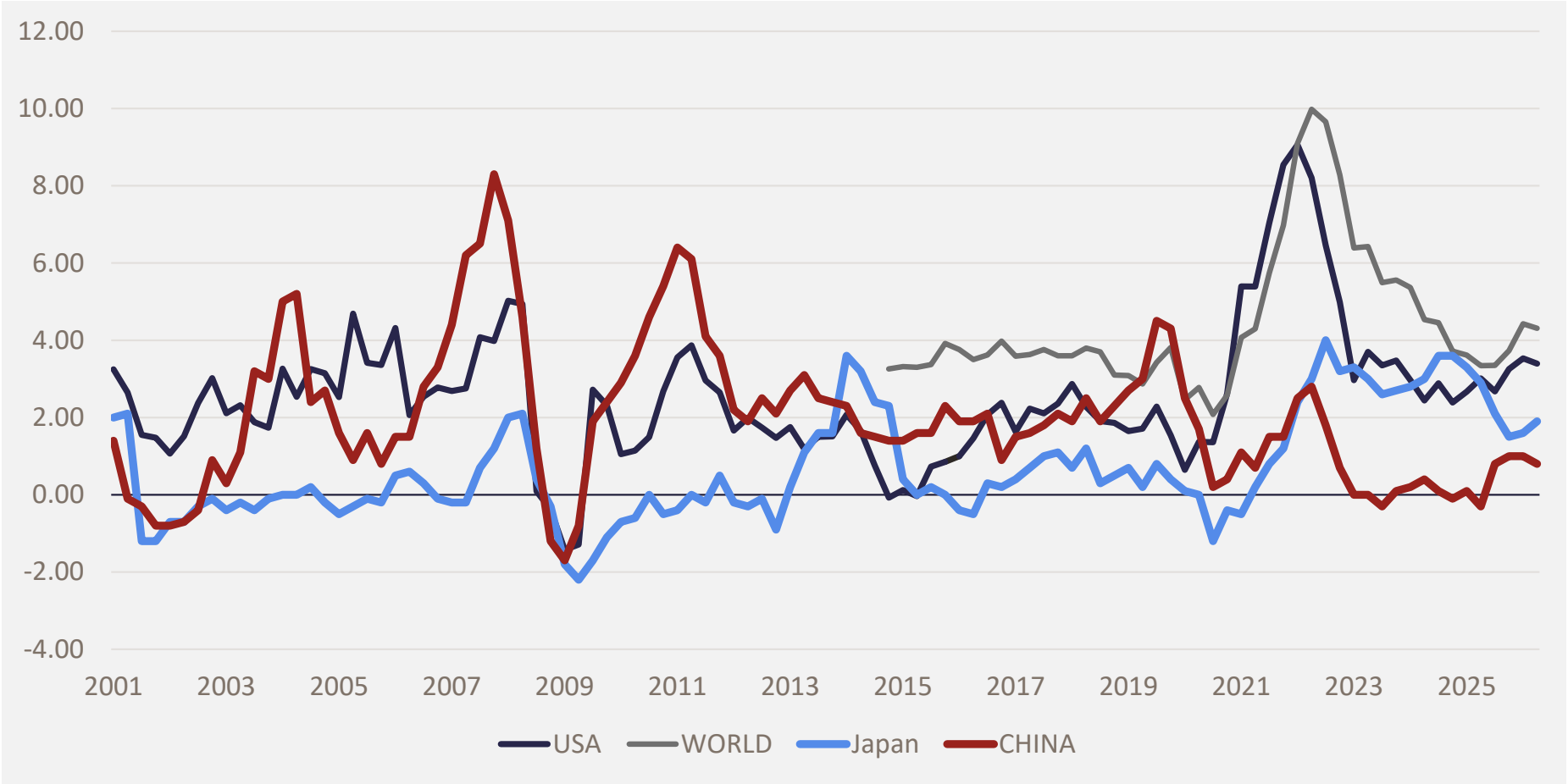


Source: Bloomberg LLP, September 2026

INFLATION

Geopolitics is helping to ‘fix’ long-term correlations

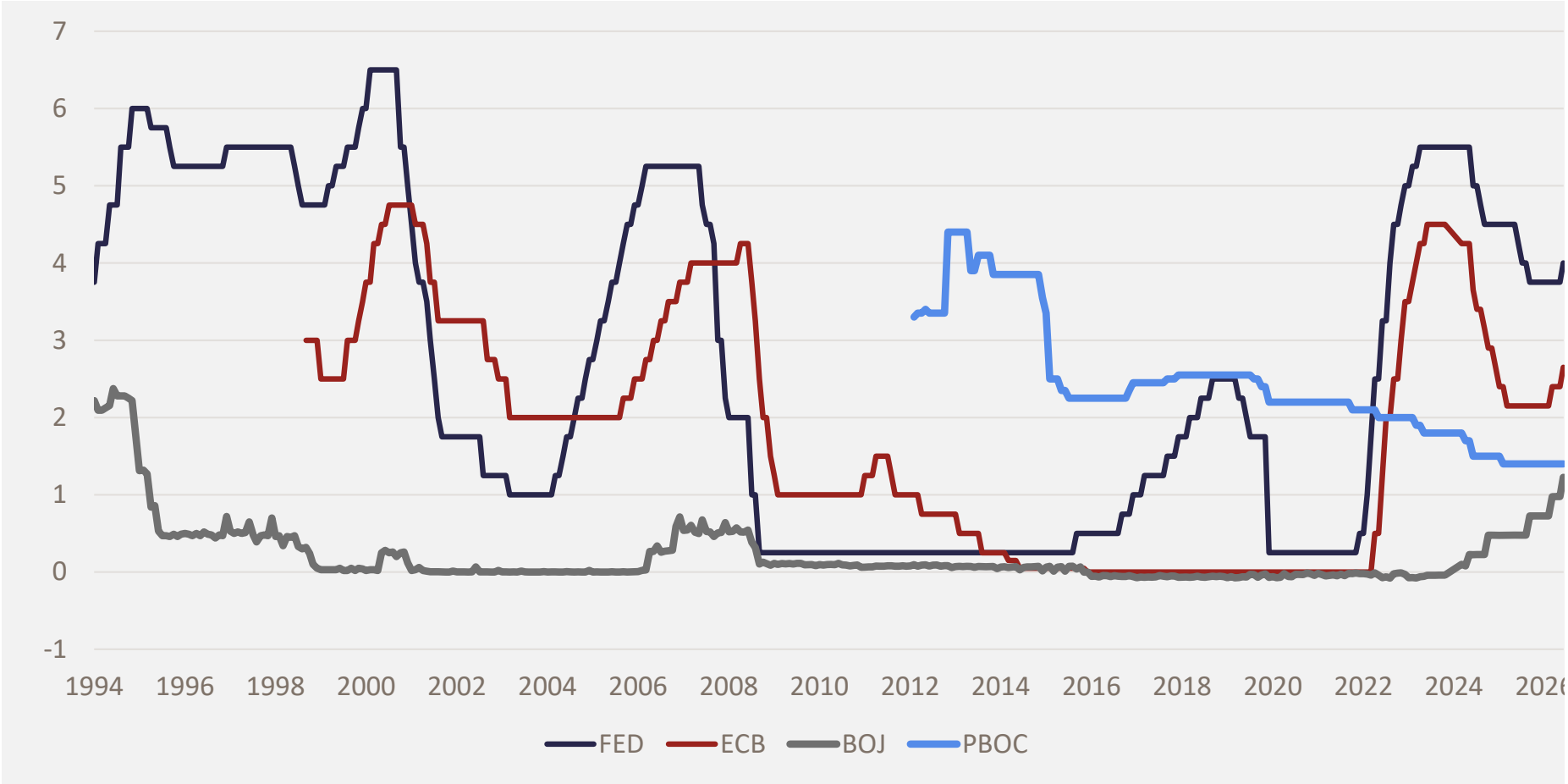
CPI (%)



Source: Bloomberg, September 2026

CENTRAL BANKS

And independent monetary policies



Source: CAIM, Bloomberg, September 2026

INVESTMENT THEMES AND RELATIONSHIPS…

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Post DotCom to the GFC (2002-2008)

	UST	BUND	CGB	GOLD	CHF	JPY	CNY	SP500	NASDAQ	BITCOIN
UST	1.00	0.77	0.00	0.15	0.33	0.49	0.09	-0.26	-0.30	#VALUE!
BUND	0.77	1.00	0.14	0.13	0.16	0.37	-0.11	-0.22	-0.26	#VALUE!
CGB	0.00	0.14	1.00	-0.07	-0.15	-0.07	0.18	-0.12	-0.14	#VALUE!
GOLD	0.15	0.13	-0.07	1.00	0.52	0.37	0.10	-0.01	-0.02	#VALUE!
CHF	0.33	0.16	-0.15	0.52	1.00	0.63	0.20	-0.11	-0.09	#VALUE!
JPY	0.49	0.37	-0.07	0.37	0.63	1.00	0.14	-0.21	-0.19	#VALUE!
CNY	0.09	-0.11	0.18	0.10	0.20	0.14	1.00	-0.27	-0.15	#VALUE!
SP500	-0.26	-0.22	-0.12	-0.01	-0.11	-0.21	-0.27	1.00	0.86	#VALUE!
NASDAQ	-0.30	-0.26	-0.14	-0.02	-0.09	-0.19	-0.15	0.86	1.00	#VALUE!
BITCOIN	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!

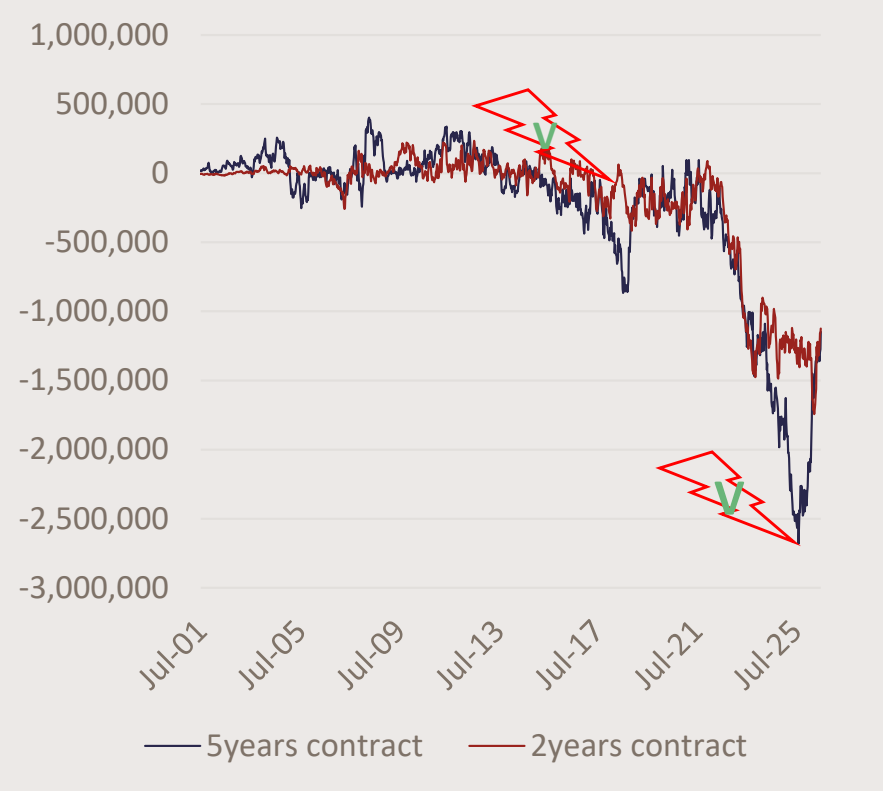
The GFC to the Fed stress (2008-2018)

	UST	BUND	CGB	GOLD	CHF	JPY	CNY	SP500	NASDAQ	BITCOIN
UST	1.00	0.74	0.25	0.37	0.13	0.46	0.07	-0.26	-0.30	#VALUE!
BUND	0.74	1.00	0.21	0.14	-0.18	0.28	-0.02	-0.37	-0.34	#VALUE!
CGB	0.25	0.21	1.00	-0.14	-0.01	0.20	-0.07	-0.14	-0.17	#VALUE!
GOLD	0.37	0.14	-0.14	1.00	0.42	0.42	0.11	0.10	0.10	#VALUE!
CHF	0.13	-0.18	-0.01	0.42	1.00	0.28	0.24	0.36	0.30	#VALUE!
JPY	0.46	0.28	0.20	0.42	0.28	1.00	0.09	-0.19	-0.21	#VALUE!
CNY	0.07	-0.02	-0.07	0.11	0.24	0.09	1.00	0.22	0.27	#VALUE!
SP500	-0.26	-0.37	-0.14	0.10	0.36	-0.19	0.22	1.00	0.91	#VALUE!
NASDAQ	-0.30	-0.34	-0.17	0.10	0.30	-0.21	0.27	0.91	1.00	#VALUE!
BITCOIN	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!

..WITH THE FED ON GUARD

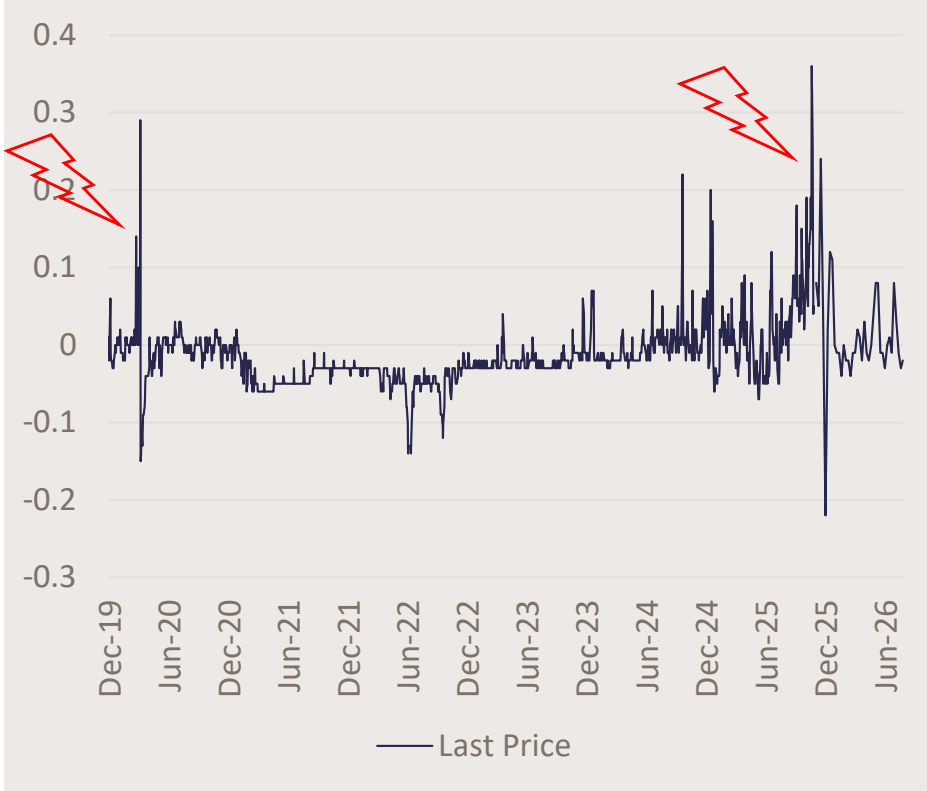
Fed to the rescue as funding conditions deteriorate putting system at risk

Futures Non-Commercial positioning



Source: CAIM, Bloomberg Finance L.P., August 2026

Fed Funds vs SOFR



Source: CAIM, Bloomberg Finance L.P., August 2026

FROM INVESTMENT 'HEROES' TO 'ZEROS'

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The COVID regime (2020-2022)

	UST	BUND	CGB	GOLD	CHF	JPY	CNY	SP500	NASDAQ	BITCOIN
UST	1.00	0.69	0.06	0.35	0.60	0.70	0.47	0.27	0.42	0.00
BUND	0.69	1.00	0.05	0.21	0.31	0.49	0.36	0.51	0.59	0.33
CGB	0.06	0.05	1.00	-0.06	-0.20	-0.07	-0.22	-0.05	-0.09	0.01
GOLD	0.35	0.21	-0.06	1.00	0.70	0.45	0.47	0.26	0.26	0.05
CHF	0.60	0.31	-0.20	0.70	1.00	0.72	0.71	0.30	0.36	0.06
JPY	0.70	0.49	-0.07	0.45	0.72	1.00	0.72	0.24	0.29	0.09
CNY	0.47	0.36	-0.22	0.47	0.71	0.72	1.00	0.30	0.34	0.16
SP500	0.27	0.51	-0.05	0.26	0.30	0.24	0.30	1.00	0.94	0.59
NASDAQ	0.42	0.59	-0.09	0.26	0.36	0.29	0.34	0.94	1.00	0.58
BITCOIN	0.00	0.33	0.01	0.05	0.06	0.09	0.16	0.59	0.58	1.00

The Great Normalisation (2022-2024)

	UST	BUND	CGB	GOLD	CHF	JPY	CNY	SP500	NASDAQ	BITCOIN
UST	1.00	0.89	0.13	0.43	0.78	0.82	0.66	0.73	0.64	0.25
BUND	0.89	1.00	0.16	0.44	0.65	0.77	0.46	0.63	0.58	0.28
CGB	0.13	0.16	1.00	-0.16	0.00	0.03	-0.16	0.14	0.18	-0.08
GOLD	0.43	0.44	-0.16	1.00	0.41	0.40	0.57	0.19	0.13	0.25
CHF	0.78	0.65	0.00	0.41	1.00	0.72	0.66	0.57	0.46	0.02
JPY	0.82	0.77	0.03	0.40	0.72	1.00	0.63	0.49	0.33	0.24
CNY	0.66	0.46	-0.16	0.57	0.66	0.63	1.00	0.42	0.31	0.14
SP500	0.73	0.63	0.14	0.19	0.57	0.49	0.42	1.00	0.86	0.49
NASDAQ	0.64	0.58	0.18	0.13	0.46	0.33	0.31	0.86	1.00	0.40
BITCOIN	0.25	0.28	-0.08	0.25	0.02	0.24	0.14	0.49	0.40	1.00

MAKING AMERICA GREAT AGAIN ('MAGA')

CAIM CROWN AGENTS INVESTMENT MANAGEMENT

AI valuations keep rising as dangerously fast and high as yields on the sovereign debt

Returns

	UST	BUND	CGB	GOLD	CHF	JPY	CNY	SP500	NASDAQ	BITCOIN
UST	1.00	0.31	-0.03	0.11	0.18	0.40	-0.40	-0.18	-0.22	-0.48
BUND	0.31	1.00	0.58	0.02	0.39	0.35	-0.46	0.19	0.33	0.15
CGB	-0.03	0.58	1.00	0.05	0.53	0.19	-0.09	0.17	0.32	0.47
GOLD	0.11	0.02	0.05	1.00	0.19	0.25	0.01	-0.30	-0.29	-0.09
CHF	0.18	0.39	0.53	0.19	1.00	0.75	0.02	-0.24	-0.11	0.20
JPY	0.40	0.35	0.19	0.25	0.75	1.00	0.06	-0.30	-0.28	-0.02
CNY	-0.40	-0.46	-0.09	0.01	0.02	0.06	1.00	0.26	0.14	-0.04
SP500	-0.18	0.19	0.17	-0.30	-0.24	-0.30	0.26	1.00	0.95	0.40
NASDAQ	-0.22	0.33	0.32	-0.29	-0.11	-0.28	0.14	0.95	1.00	0.54
BITCOIN	-0.48	0.15	0.47	-0.09	0.20	-0.02	-0.04	0.40	0.54	1.00

Source: CAIM, Bloomberg Finance L.P., August 2026

NOT RISK FREE

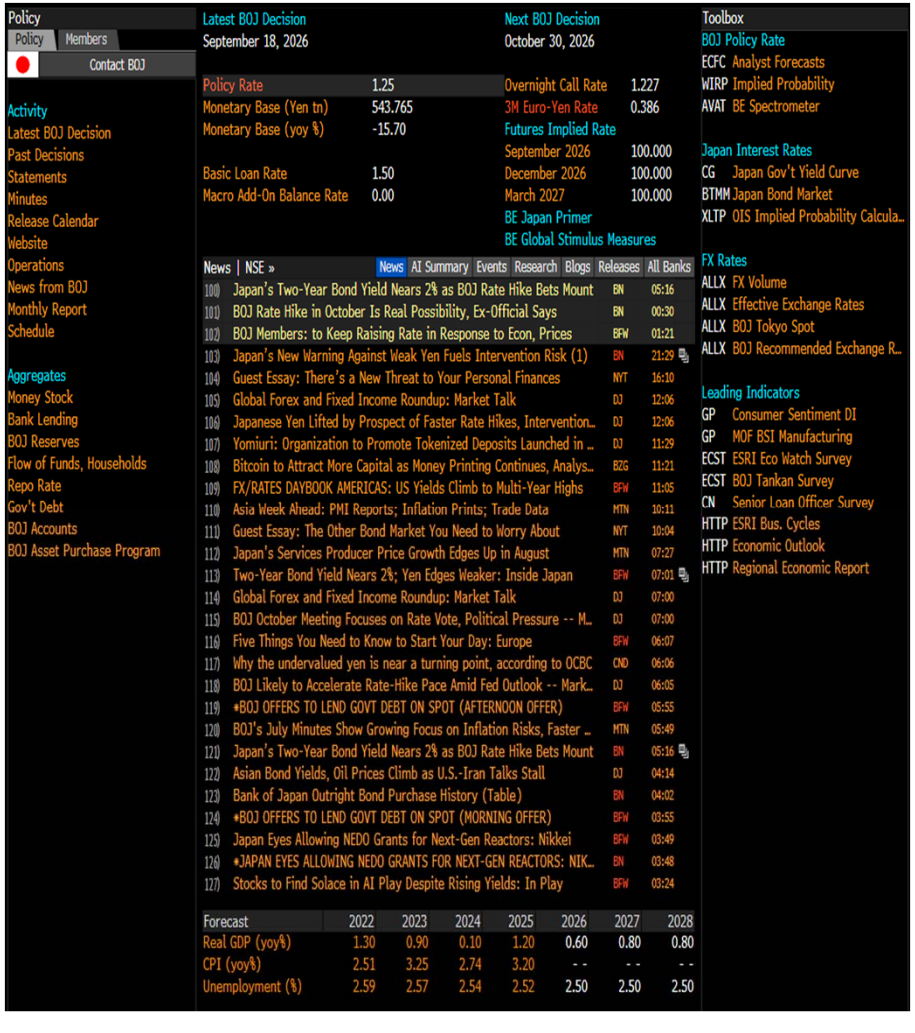
Credit premia remain stable

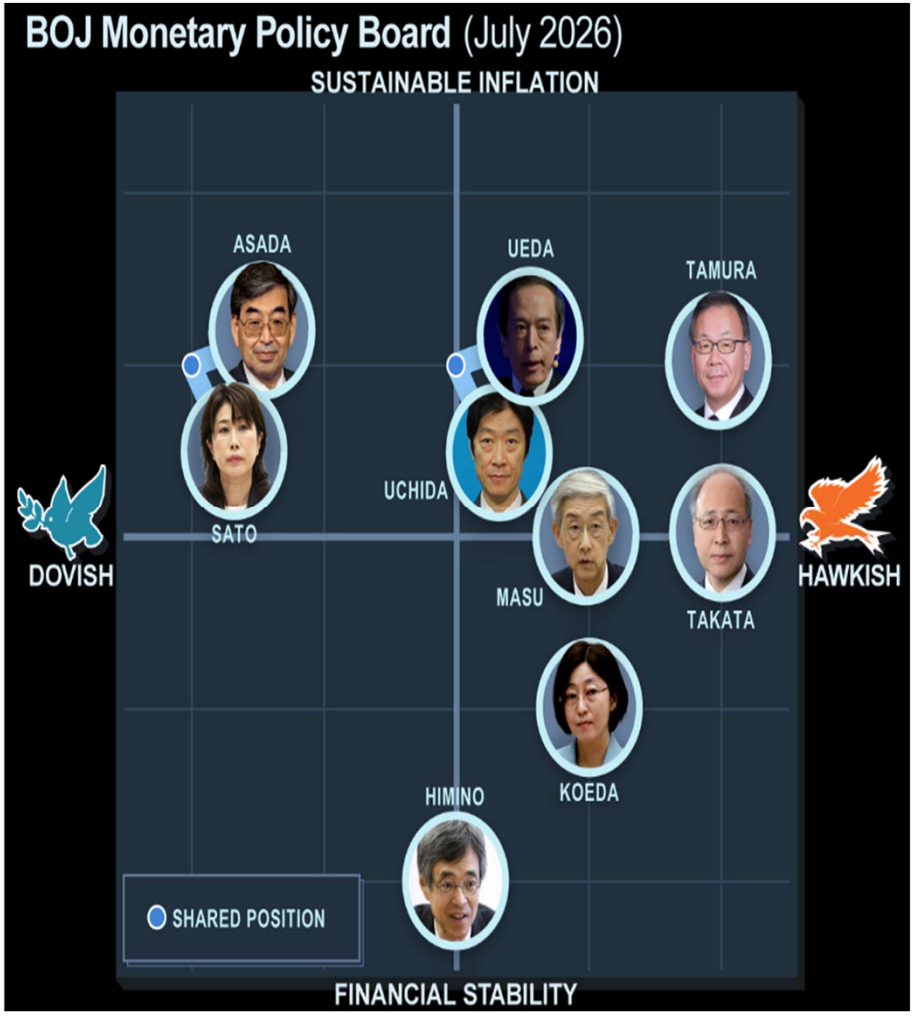
	N	Name (5Y CDS)	Spread	Change	#SD	Historical Range 1 Year: Low	Avg	Now	High	Avg	+/-	1Y Chg
		Americas										
9)	N	United States	40.53	+1.11	+2.5	31.0			44.6	38.2	+2.3	-3.2
0)	N	Brazil	129.56	+1.51	+0.8	111.6			161.4	132.6	-3.1	-8.7
1)	N	Colombia	167.44	+2.15	+0.7	137.1			240.3	190.3	-22.9	-27.9
2)	N	Mexico	92.37	+1.49	+1.2	79.6			113.9	91.6	+0.8	-1.0
3)	N	Canada	18.60	+0.26	+1.0	15.7			22.9	18.9	-0.3	-2.8
		EMEA										
9)	N	United Kingdom	22.11	+0.31	+1.2	16.9			23.5	20.0	+2.1	-0.5
0)	N	France	63.34	+2.92	+2.7	24.5			63.3	33.1	+30.2	+22.6
1)	N	Germany	10.36	+0.35	+1.8	7.5			11.4	9.1	+1.2	+0.4
2)	N	Italy	48.17	+2.36	+3.8	24.4			48.2	31.9	+16.2	+7.7
3)	N	Spain	20.90	+0.34	+1.2	16.4			27.4	19.7	+1.2	-6.5
4)	N	Portugal	18.50	+0.68	+3.6	15.3			23.4	18.1	+0.4	-4.0
5)	N	Sweden	8.47	-0.13	-0.6	7.0			10.9	9.0	-0.6	-2.2
6)	N	Netherlands	10.60	+0.25	+1.8	7.0			11.0	9.1	+1.5	-0.2
7)	N	Switzerland	9.63	+0.08	+0.6	9.0			15.6	10.6	-1.0	-0.1
8)	N	Greece	37.20	+1.11	+2.4	27.3			42.9	32.4	+4.8	-5.6
		Asia/Pacific										
9)	N	Japan	25.49	-0.51	-1.3	19.6			30.7	25.8	-0.3	+5.9
0)	N	Australia	16.21	+0.18	+0.4	11.4			17.6	14.1	+2.1	+2.5
1)	N	New Zealand	17.49	+0.12	+0.5	13.1			18.3	15.5	+2.0	+4.1
2)	N	South Korea	23.88	-0.01	--	21.1			36.7	24.4	-0.5	-1.3
3)	N	China	34.89	+0.87	+2.8	33.3			55.5	42.1	-7.2	-4.0

Source: Bloomberg LLP, September 2026
*Bloomberg function 'SOVR'

JAPAN'S FIXED INCOME MARKET – THE TRADITIONAL MODEL DOESN'T WORK

BANK OF JAPAN





Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'BOJ' & 'AVAT'

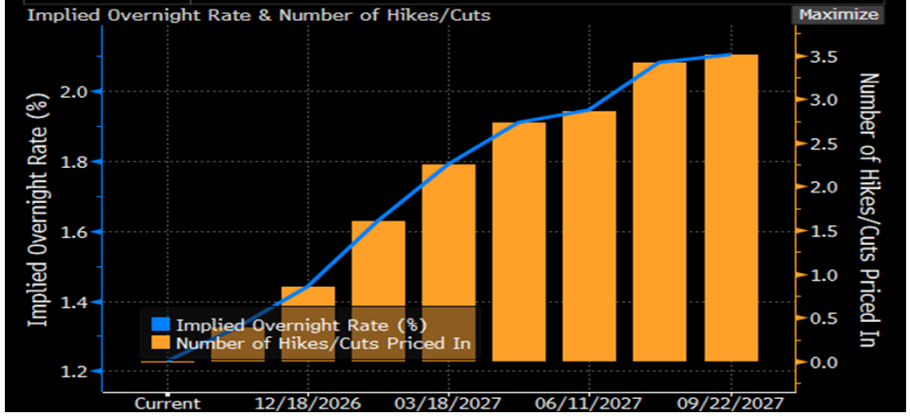
YEN RATES – MARKETS INCREASE PRESSURE ON BOJ

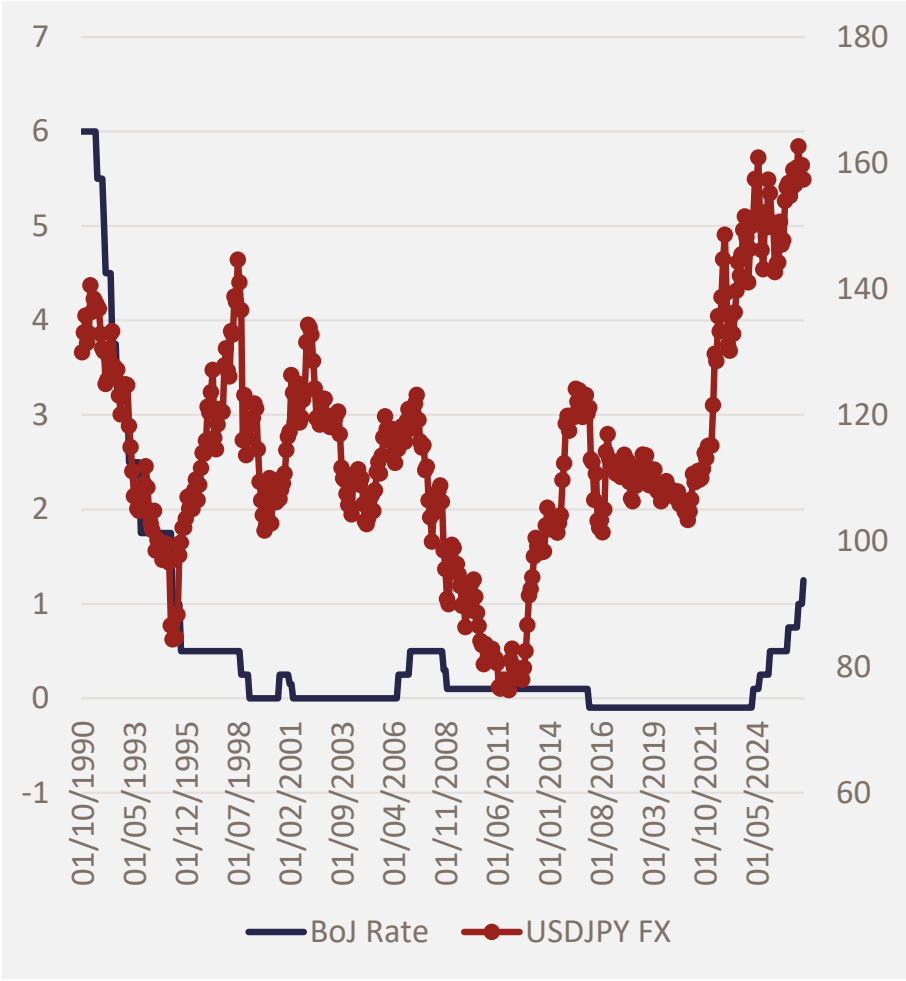
BoJ rate has not been that high since 1995

Region: Japan »
Target Rate 1.250
Effective Rate 1.227

Instrument: Overnight Index Swaps »
Pricing Date 09/28/2026
Cur. Imp. O/N Rate 1.227

Meeting	#Hikes/Cuts	%Hike/Cut	Imp. Rate Δ	Implied Rate	A.R.M.
10/30/2026	+0.392	+39.2%	+0.098	1.325	0.250
12/18/2026	+0.850	+45.9%	+0.213	1.440	0.250
01/22/2027	+1.601	+75.1%	+0.400	1.628	0.250
03/18/2027	+2.255	+65.4%	+0.564	1.791	0.250
04/28/2027	+2.729	+47.5%	+0.682	1.910	0.250
06/11/2027	+2.867	+13.8%	+0.717	1.944	0.250
07/22/2027	+3.418	+55.1%	+0.855	2.082	0.250
09/22/2027	+3.508	+9.0%	+0.877	2.104	0.250





Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'WIRP'

Foreign investors monitoring the government bond market but focused more on the IRS market

In transition. Moving from Z-Tibor to TONA

JGBs			JGBs Compound			JPY OIS		
1Y	1.664	+0.034	1Y	1.696	+0.054	1Y	1.716	+0.041
2Y	1.970	+0.037	2Y	1.980	+0.049	2Y	2.004	+0.028
3Y	2.168	+0.033	3Y	2.121	+0.033	3Y	2.179	+0.022
4Y	2.396	+0.020	4Y	2.317	+0.030	4Y	2.324	+0.028
5Y	2.428	+0.030	5Y	2.425	+0.029	5Y	2.451	+0.030
7Y	2.900	+0.021	7Y	2.715	+0.065	7Y	2.671	+0.029
10Y	3.088	+0.018	10Y	3.059	+0.016	10Y	2.966	+0.029
20Y	3.921	+0.015	20Y	3.889	+0.016	20Y	3.536	+0.030
30Y	4.172	+0.020	30Y	4.140	+0.016	30Y	3.679	+0.034
40Y	4.228	+0.033	40Y	4.136	+0.023	40Y	3.664	+0.034

D TIBOR	
1W	1.09309
1M	1.40664
3M	1.68127
6M	1.83091
1Y	1.58391

JGB Futures		
JBA	124.17	-0.11
JJAA	87.91	-0.01

Spot FOREX	
JPY	157.4000
EUR	1.1368
GBP	1.3258
SFS	0.8320
€/JPY	178.9300
AUD	0.7021
AUD/JPY	110.4950

ISDA Fallback LIBOR	
O/N	1.19180
1W	0.97906
1M	0.96666
2M	0.97599
3M	0.98392
6M	0.91979
1Y	0.89953

OSE TONA Futures		
JOA1	98.450	+0.000
JOA2	98.190	-0.003

TFX TONA Futures		
YP01	98.765	+0.000
YP02	98.510	+0.000

O/N Call (MUTAN)		
BID/ASK	1.2000	1.2800
LAST/CHG	1.2400	+0.0000

TORF		
1M	1.138	+0.000
3M	1.288	+0.006
6M	1.433	+0.030

Equity Indices		
NKY	65877.62	-486.58
TPX	4112.00	-16.59

Crude Oil		
NYM WTI	93.45	+1.04

JPY Deposits		
1W	1.030	1.230
2W	1.045	1.245
1M	1.077	1.273
2M	1.160	1.345
3M	1.242	1.418
6M	1.450	1.650
9M	1.650	1.850
1Y	1.816	2.010

JPY OIS <1Y	
1M	1.22750
2M	1.27500
3M	1.31125
6M	1.46375
9M	1.59625

YEN CDs		
1M	1.350	1.050
2M	1.400	1.050
3M	1.500	1.050

REF Rates	
SHRT	2.375
LONG	3.400
BOJ O/N Rate	1.227

Repos	
O/N	1.232
T/N	1.250
1W	1.250
2W	1.250
3W	1.250
1M	1.251
3M	1.304

Economic Releases | ECO »

Source: Bloomberg, CAIM, , September 2026
*Bloomberg function 'BTMM JN'

JGB OWNERSHIP STRUCTURE

In theory the ownership structure should offer BoJ a fair amount of monetary independence.

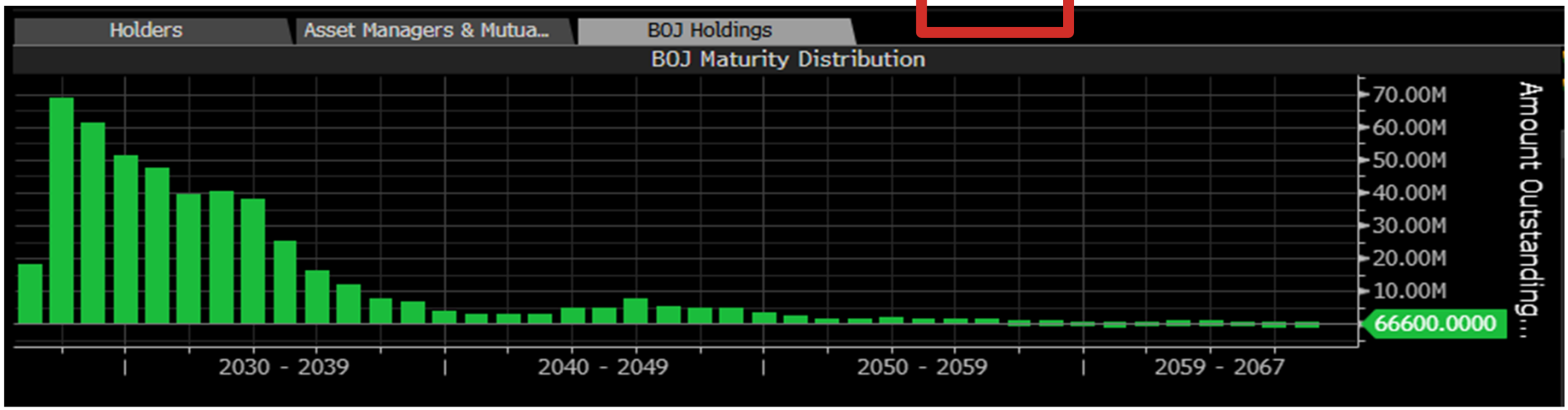
- ‘One man/country show’

Sovereign Debt Ownership | Japan | Browse | Export

Holders | Asset Managers & Mutua... | BOJ Holdings

Comparison Period: Previous Quarter

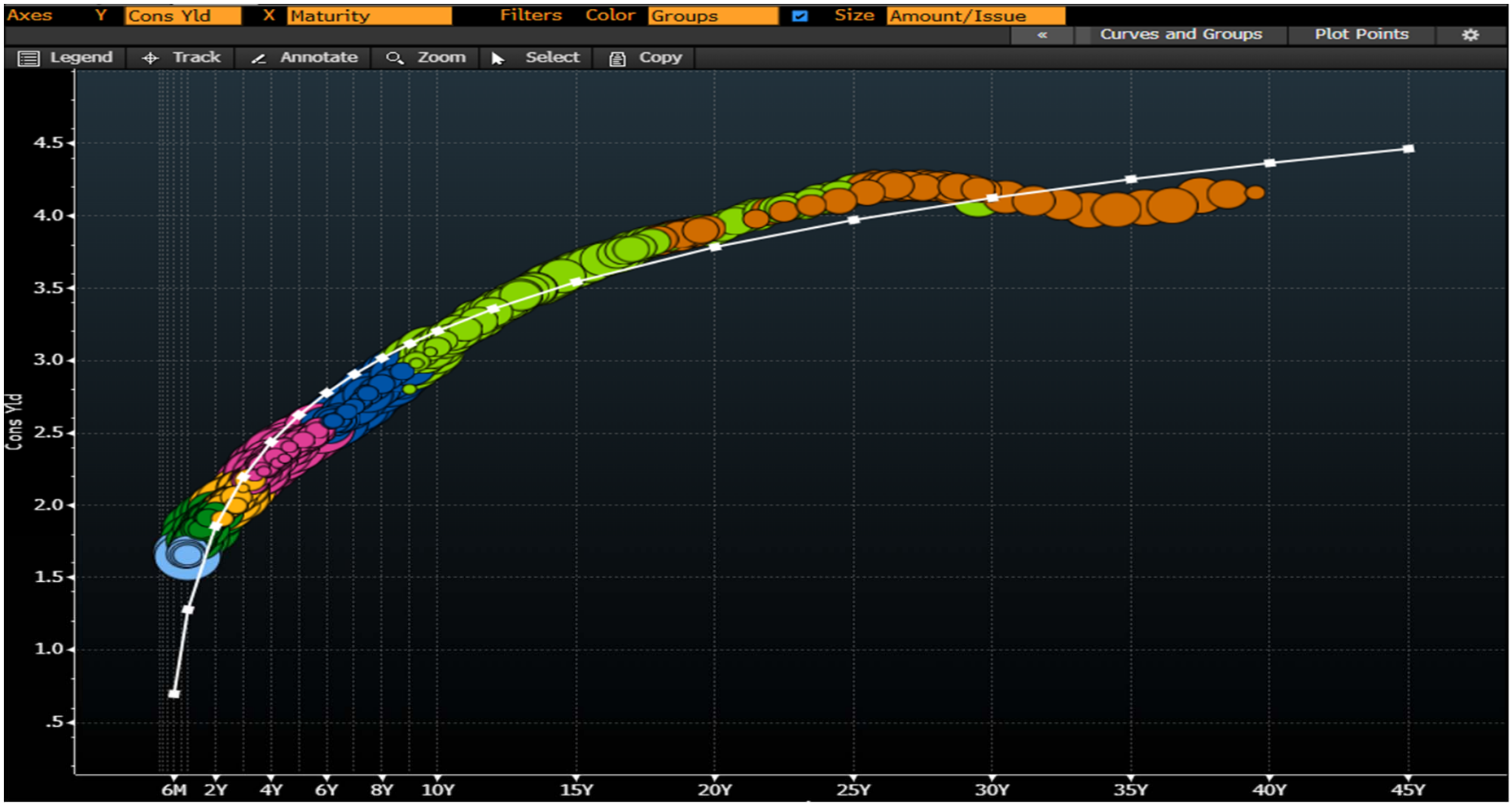
Ticker	Description	Latest Amount (Billions)	Latest % Total	Previous Quarter Amount (Billions)	Previous Quarter % Total	Net Chg (Billions)	% Chg
JPSKL0GF	Total Central Government Securities and FLIP Bonds	1,006,524		1,013,756		-7,232	-.7%
JPSKFAGF	Financial Institutions	811,622	80.6	824,985	81.4	-13,363	-1.6%
JPSKCAGF	BOJ	470,040	46.7	485,428	47.9	-15,388	-3.2%
JPSKBACB	Banks	143,277	14.2	135,104	13.3	8,173	+6.0%
JPSKKAGF	Insurance and Pension Funds	184,270	18.3	187,683	18.5	-3,413	-1.8%
JPSK8AGF	Domestic Non-financial Sector	114,990	11.4	108,527	10.7	6,464	+6.0%
JPSKC0GF	Government	80,355	8.0	76,142	7.5	4,213	+5.5%
JPSKK0GF	Overseas	79,911	7.9	80,244	7.9	-333	-.4%
JPSKL0TR	Total Treasury Discount Bills	135,499		136,299		-800	-.6%



Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function ‘DEBT’

JGB THE STEEPEST CURVE IN YEARS

Despite domestic ownership the upward pressure on yields persists

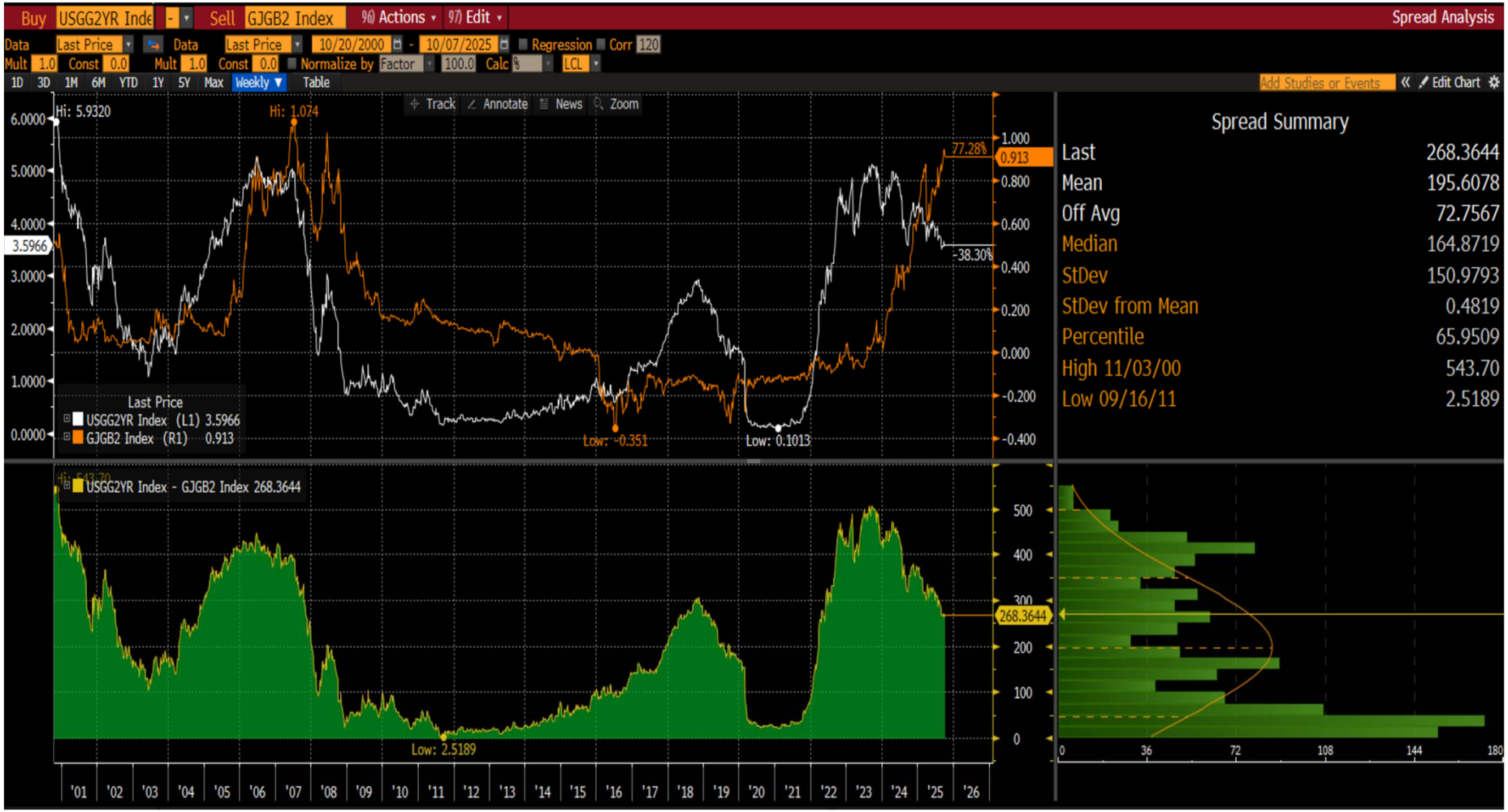


Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'FIW'

INTEREST RATE DIFFERENTIAL ROLLER COASTER

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The 2 year UST versus the 2 year JGB differential over the last decade



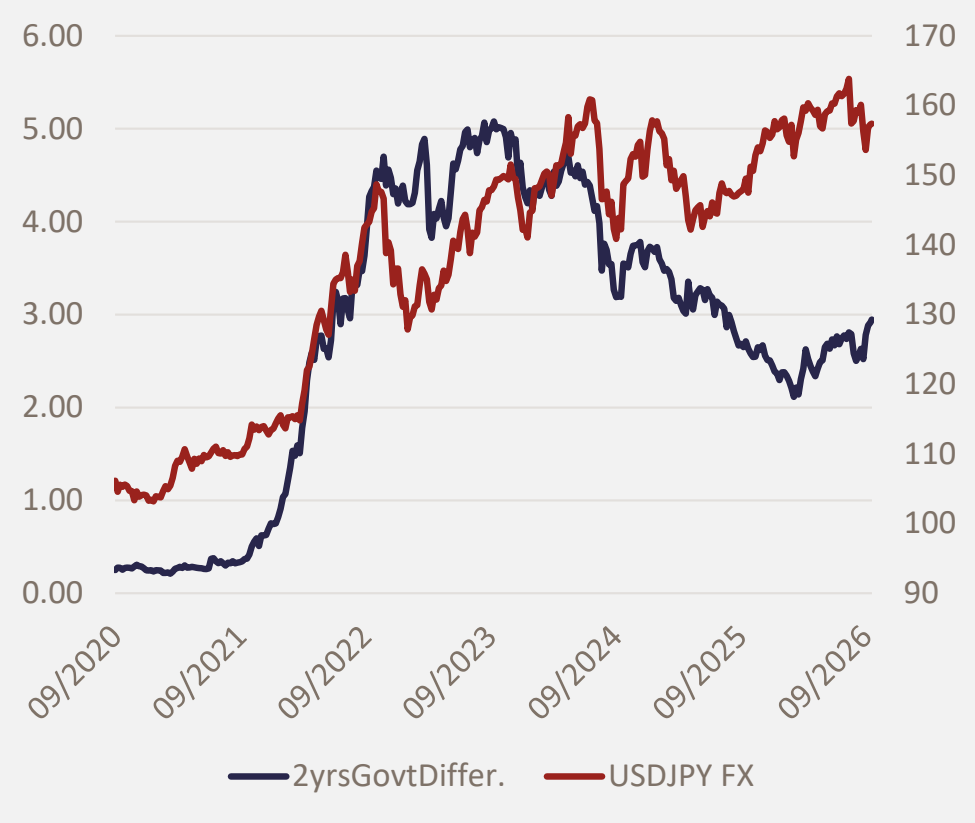
Source: Bloomberg LLP, CAIM, , October 2025
*Bloomberg function 'ISIN 1 + ISIN 2 + HS'

INTEREST RATE DIFFERENTIAL TOO BIG TO IGNORE

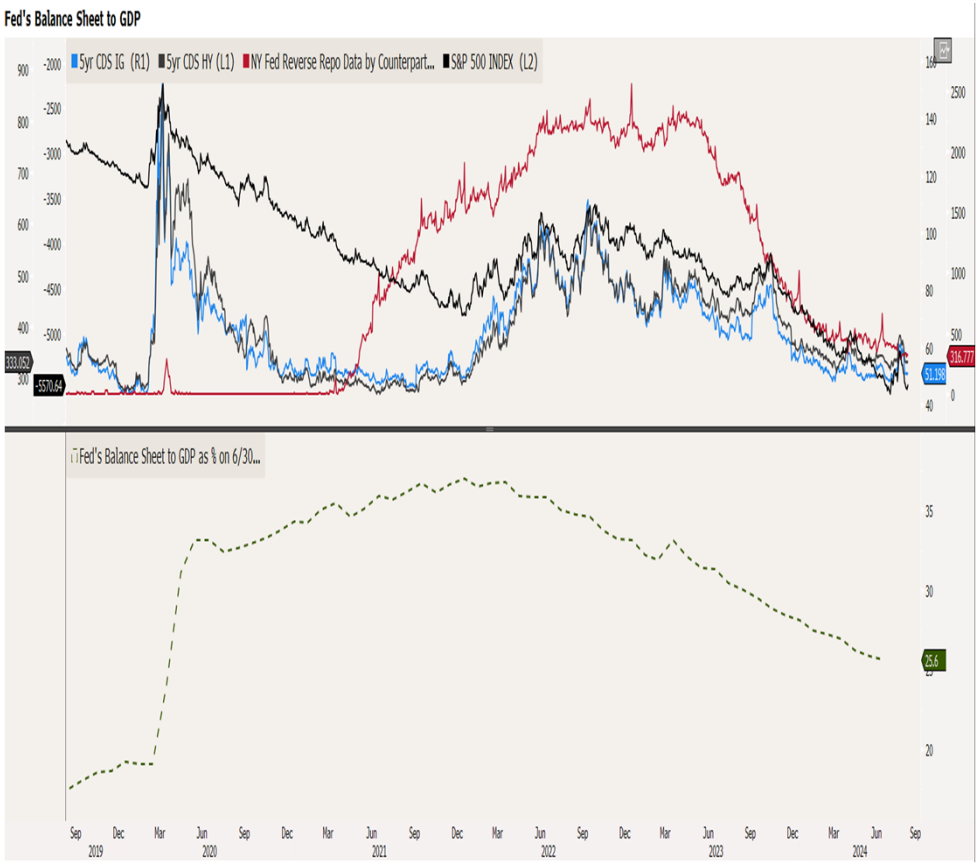
CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

The FED applied one of the most aggressive monetary policy normalisations in history but policed risk through the balance sheet

US-Japan interest rate differential and the FX rate



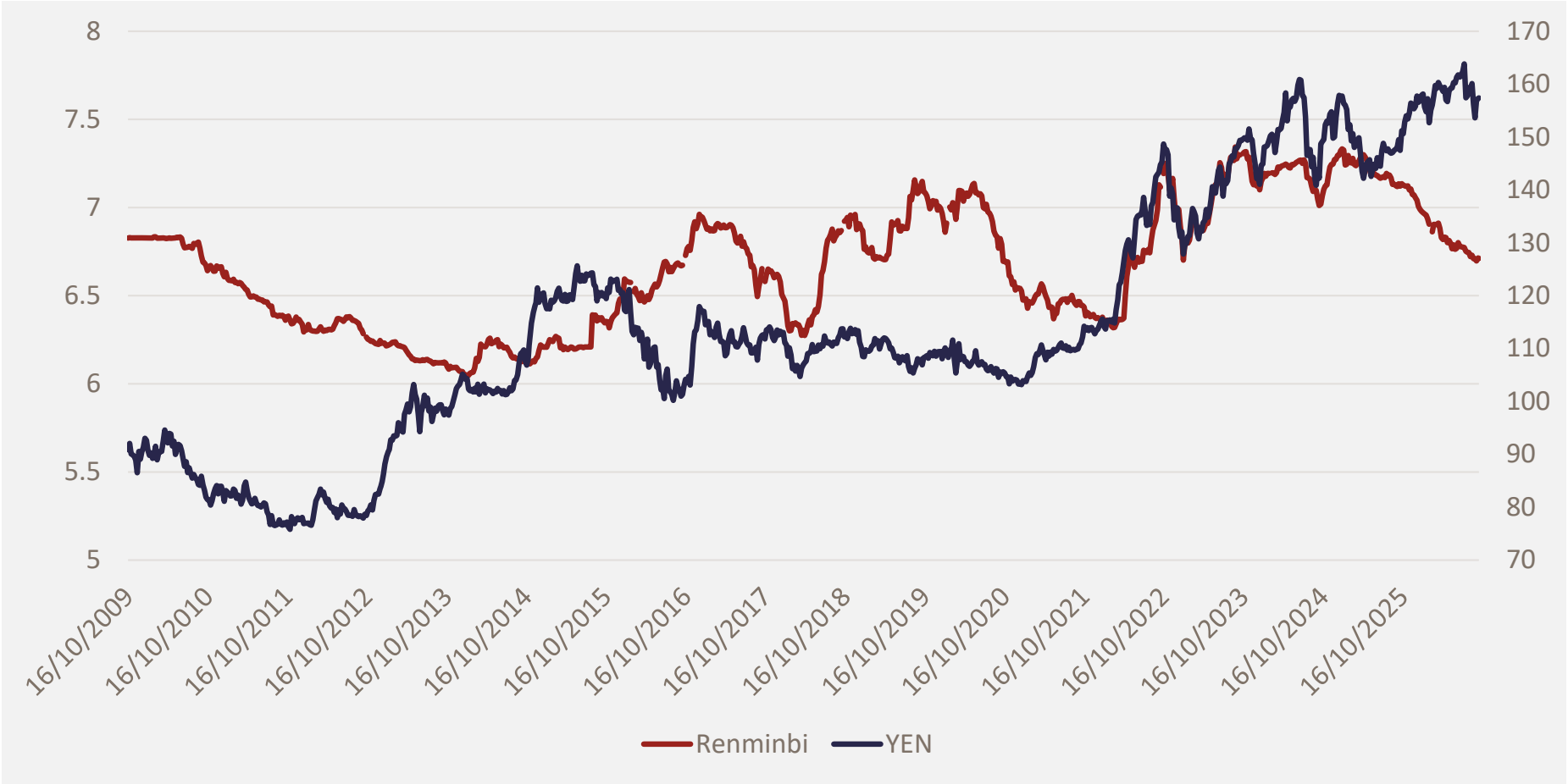
CBs balance sheets have promoted risk taking culture



Source; Bloomberg LLP, CAIM September 2026

FX – ON DIVERGING PATHS

And the price BOJ pays is the FX stability



Source: Bloomberg LLP, September 2026

CHINA'S FIXED INCOME MARKET – THE TRADITIONAL MODEL STILL WORKS

PBOC AND OLD CENTRAL BANK MODEL

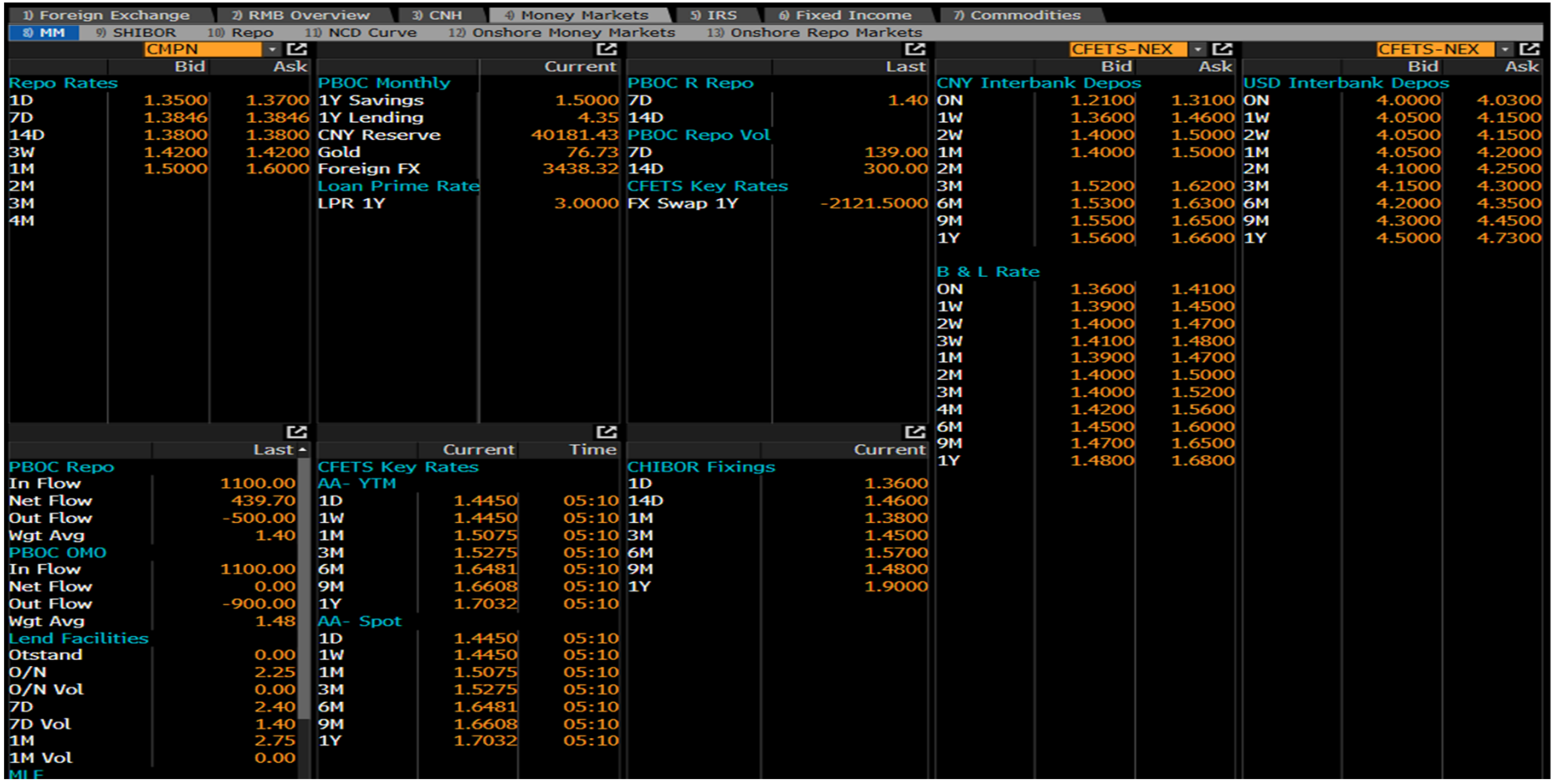
PBoC remains in full control



Source: Bloomberg LLP, CAIM, , October 2025
*Bloomberg function ''PBOC"

CHINESE SOPHISTICATED 'HYBRID'

A journey to a 'free market' model



Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'OTC China'

THE SECOND LARGEST FIXED INCOME MARKET

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

A journey into a developed market format

1) Foreign Exchange | 2) RMB Overview | 3) CNH | 4) Money Markets | 5) IRS | 6) Fixed Income | 7) Commodities

8) Onshore FI Overview | 9) FI | 10) China FI Curve | 11) LGFV Curv

	Bid Y	Ask Y	Price
Govt Benchmark			
3M			
6M			
1Y			
3Y	1.1864	1.1990	100.2454
5Y	1.3055	1.3050	100.4019
7Y	1.4000	1.4000	100.4497
10Y	1.5224	1.5298	103.8964
20Y	2.0689	2.0689	129.0515
30Y	2.1048	2.1249	95.6587
CDB Benchmark			
1Y			
3Y	1.3350	1.3350	100.4237
5Y	1.4659	1.4575	99.4034
7Y	1.5069	1.5069	104.6553
10Y	1.6949	1.7030	98.9803
20Y	1.9719	1.9719	115.0149
30Y	2.1043	2.1043	128.1903

	Current	Chg
CFETS Key Rates		
CNY	6.7111	-0.0020
FX		
CNH	6.7113	-0.0014
Eq Indices		
Shg	3823.6206	-64.7532
CSI300	4340.7549	-98.3896
HSI	24642.5098	132.4199
Economics		
GDP	4.3	-0.7
MthGDP	5.92	
CPIYoY	0.8	0.3
Food	-0.55	
PPIYoY	3.8	0.3
Energy	943.800	
Value	5.2	0.7
FixAst	-7.2	-0.5
Loans	4.92	
Capital	-35.31	

	Last	Chg
CFETS Key Rates		
Interbank Repo		
1D	1.3352	-.0139
7D	1.3883	-.0027
14D	1.39740	-.0277
CFETS Repo		
1D	1.3800	.0000
7D	1.4200	.0000
SHIBOR Fixings		
O/N	1.3610	-.0030
1W	1.3893	-.0107
3M	1.4300	.0000
Exchange Repos		
SSE Repo		
1D	1.4650	.0250
7D	1.455	-.0100
14D	1.4550	-.0050
Shenzhen Repo		
1D	1.46	.0250
7D	1.46	.0000
14D	1.46	.0050

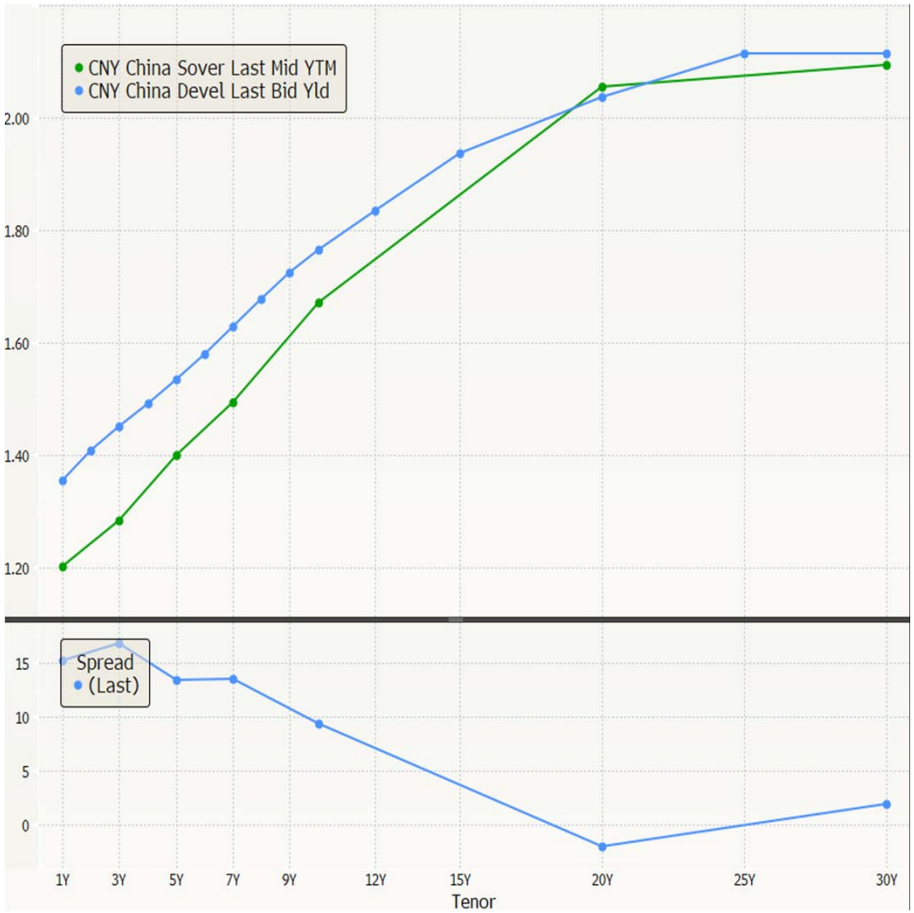
	Last	Chg
Bond Futures		
5Y	106.525	-0.045
10Y	109.545	-0.040
CFETS Key Rates		
IRS vs 7D Repo		
1M	1.4350	0.0000
3M	1.4400	0.0000
1Y	1.4350	0.0000
2Y	1.4350	0.0000
3Y	1.4550	0.0000
5Y	1.5050	0.0000
10Y	1.6150	0.0000

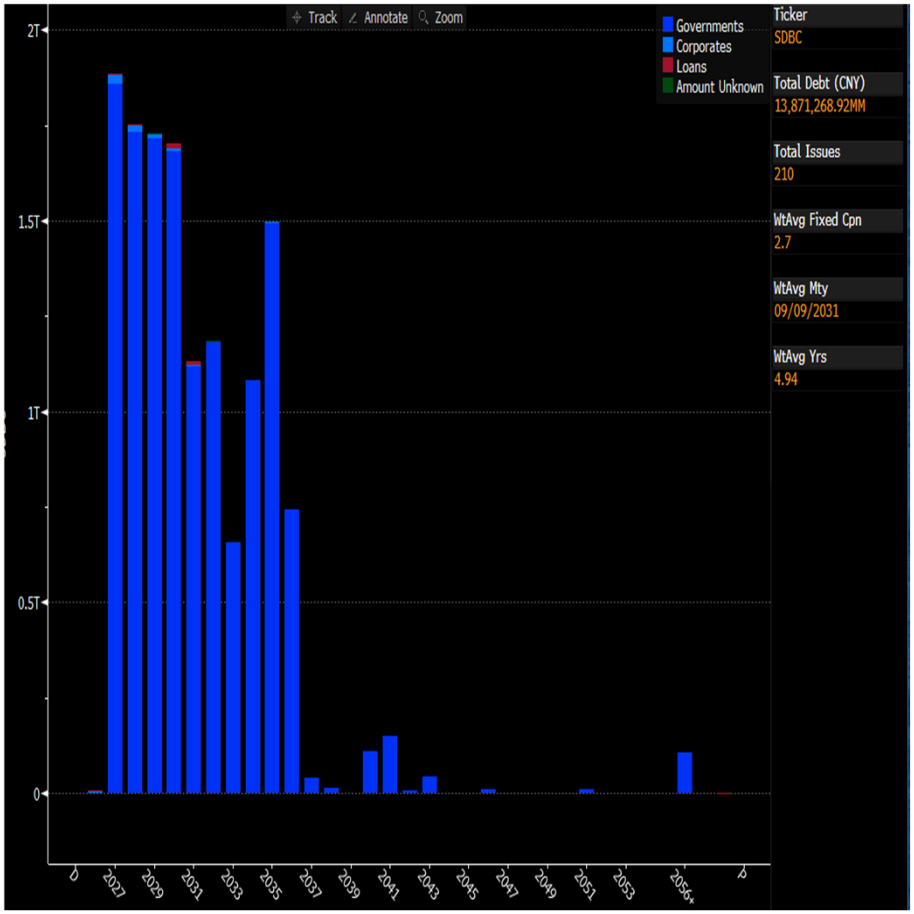
Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'BTMM China'

ONSHORE MARKET

Policy Banks bonds trading volumes often exceed CGBs volumes.

There are three Policy Banks. China Development Bank is the largest issuer = the benchmark





Source: Bloomberg LLP, CAIM, , October 2025
*Bloomberg function 'GC ' 'DDIS'

ONSHORE VS 'ONSHORE' MARKET

Dim-Sum offers yield enhancement, but it come at a price…

CGB – the current 10yr 'on the run'

Issuer Information			
Name	CHINA DEVELOPMENT BANK		
Industry	Government Owned, No Guarantee (BCLASS)		
Security Information			
Mkt Iss	DOMESTIC		
Ctry/Reg	CN	Currency	CNY
Rank	Unsecured	Series	2610
Coupon	1.750000	Type	Fixed
Cpn Freq	Annual		
Day Cnt	ACT/ACT	Iss Price	100.0000
Maturity	07/08/2036		
BULLET			
Iss Sprd			
Calc Type	(852)CHINESE GOVT BONDS		
Pricing Date			07/07/2026
Interest Accrual Date			07/08/2026
1st Settle Date			07/08/2026
1st Coupon Date			07/08/2027

Identifiers	
FIGI	BBG023HSNV89
ISIN	CND1000BF7Q2
ID Number	DM8519215
Bond Ratings	
Issuance & Trading	
Amt Issued/Outstanding	
CNY	184,000,000.00 (M) /
CNY	184,000,000.00 (M)
Min Piece/Increment	
	10,000.00/ 10,000.00
Par Amount	100.00
Book Runner	
Exchange	CHINA INTERBANK

China Development Bank

Avg of Comparables		1.94	31	-18	-28		-17	-25	7	2.3
17) SDBC 1 ¾ 07/08/36	99.99	1.75	13							
18) ADBCH 1.66 01/09/35	99.56	1.72	13	0	-2		1	-1	1	1.4
19) EXIMCH 3.88 01/12/36	118.28	1.73	13	0	-4		1	-1	1	0.9
20) ADBCH 1.82 08/07/35	100.76	1.73	13	0	-2		0	-1	1	1.8
21) EXIMCH 2.17 08/16/34	103.50	1.69	12	1	-1		2	1	0	0.4
22) ADBCH 2.09 09/26/34	102.92	1.70	12	1	-1		2	0	1	1.0
23) ADBCH 2.3 07/04/34	104.43	1.69	11	2	-3		3	1	1	0.9
24) ADBCH 1.83 06/17/36	100.40	1.78	17	-4	-6		-2	-4	0	-0.4
25) MIRAIL 4.1 11/15/36	120.97	1.81	20	-7	-12		-4	-7	0	-0.1
26) RLCONS 2.1 09/29/36	100.18	2.08	6	7	7		12	9	-2	-0.9
27) CHGRID 2 ¾ 06/12/35	101.57	2.05	5	8	-6		13	6	2	0.5
28) CHGRID 2.18 08/20/36	101.30	2.03	2	11	11		20	14	-3	-1.1
29) MIRAIL 4.65 07/26/38	129.10	1.88	24	-11	-18		-10	-13	2	1.0
30) HUARBK 1.87 09/23/36	100.00	1.87	25	-12	-22		-12	-17	5	1.0
31) MIRAIL 4.73 04/26/38	129.31	1.89	25	-12	-19		-11	-14	2	0.9
32) MIRAIL 4.8 05/24/38	129.96	1.91	27	-14	-21		-13	-17	3	1.1
33) AGRBK 1.87 08/28/36	100.36	1.79	28	-15	-22		-9	-17	2	0.8
34) ICBCAS 1.81 08/20/36	100.09	1.79	28	-15	-16		-5	-9	-6	-1.5
35) BCHINA 2.85 02/01/39	106.78	1.85	29	-16	-34		-15	-25	9	1.8
36) CCB 2.82 02/05/39	106.59	1.85	29	-16	-33		-15	-25	9	1.8
37) BCHINA 2.71 04/08/39	105.90	1.86	30	-17	-34		-16	-26	9	1.7
38) MIRAIL 4.16 10/24/39	125.20	1.96	30	-17	-25		-16	-19	2	0.7
39) MIRAIL 4.02 08/08/39	123.32	1.95	30	-17	-25		-16	-20	3	1.1
40) MIRAIL 4.03 09/19/39	123.57	1.96	30	-17	-28		-16	-21	4	1.1
41) AGRBK 2.15 08/05/36	101.98	1.90	31	-18	-31		-17	-26	8	2.2
42) SHNHUA 2 08/21/36	100.62	1.93	31	-18	-31		-17	-24	6	1.7
43) AGRBK 2.12 07/24/40	101.69	1.91	31	-18	-36		-17	-28	10	2.2
44) HNINTL 1.95 09/10/36	100.07	1.94	32	-19	-24		-18	-20	1	0.5
45) CHGRID 2.06 04/24/36	101.03	1.94	33	-20	-31		-20	-29	9	3.9
46) AGRBK 2.27 05/12/41	102.83	1.94	33	-20	-38		-19	-31	11	2.1
47) AGRBK 2.4 11/20/40	103.83	1.94	34	-21	-39		-20	-32	11	2.2
48) CHRFRM 2.09 06/09/35	101.16	1.94	35	-22	-37		-21	-31	9	2.2
49) SOPOWZ 2.01 06/25/35	100.51	1.95	35	-22	-32		-21	-28	6	2.2

Source: Bloomberg LLP, CAIM, , September 2026*Bloomberg function 'ISIN + DES' '
ISIN + COMB

OFFSHORE VS ONSHORE MARKET

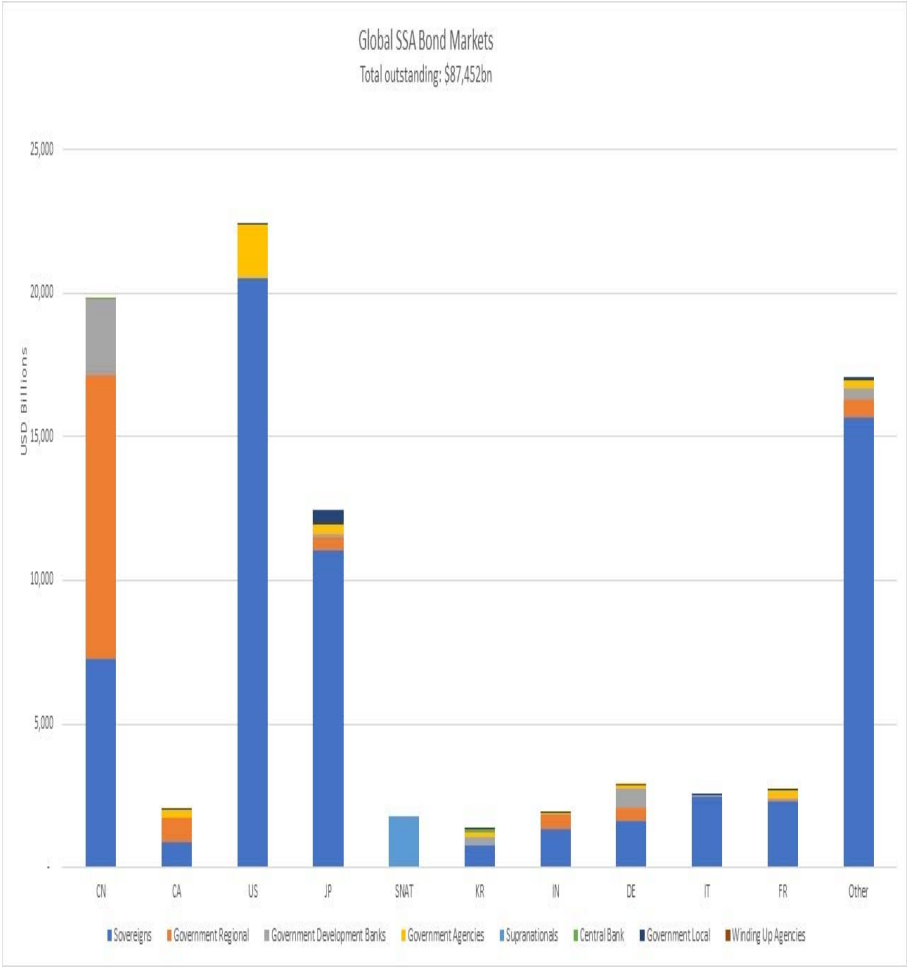
Dim-Sum (Offshore) – yield and credit enhancement, but it come at a price…

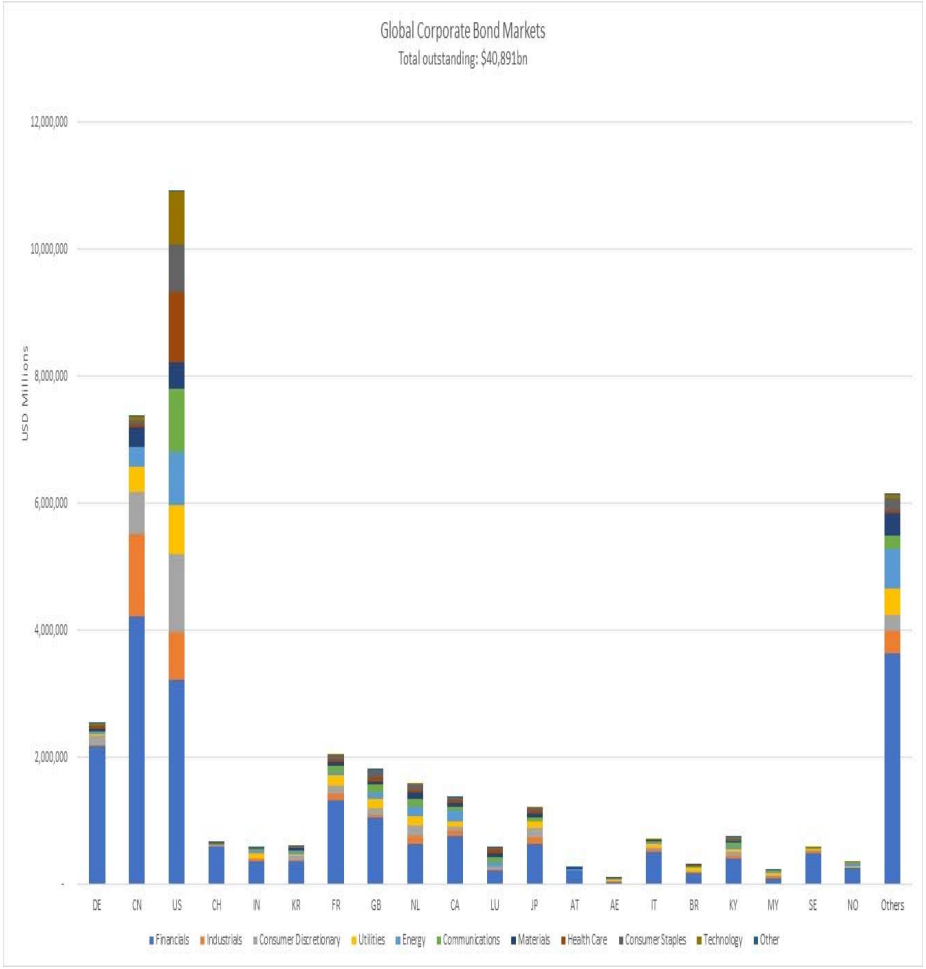


Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'FIW'

GLOBAL FIXED INCOME MARKET

The Sovereign allocation is twice that of the corporate allocation





Source; Fitch, August 2024

OFFSHORE VS ONSHORE MARKET (2)

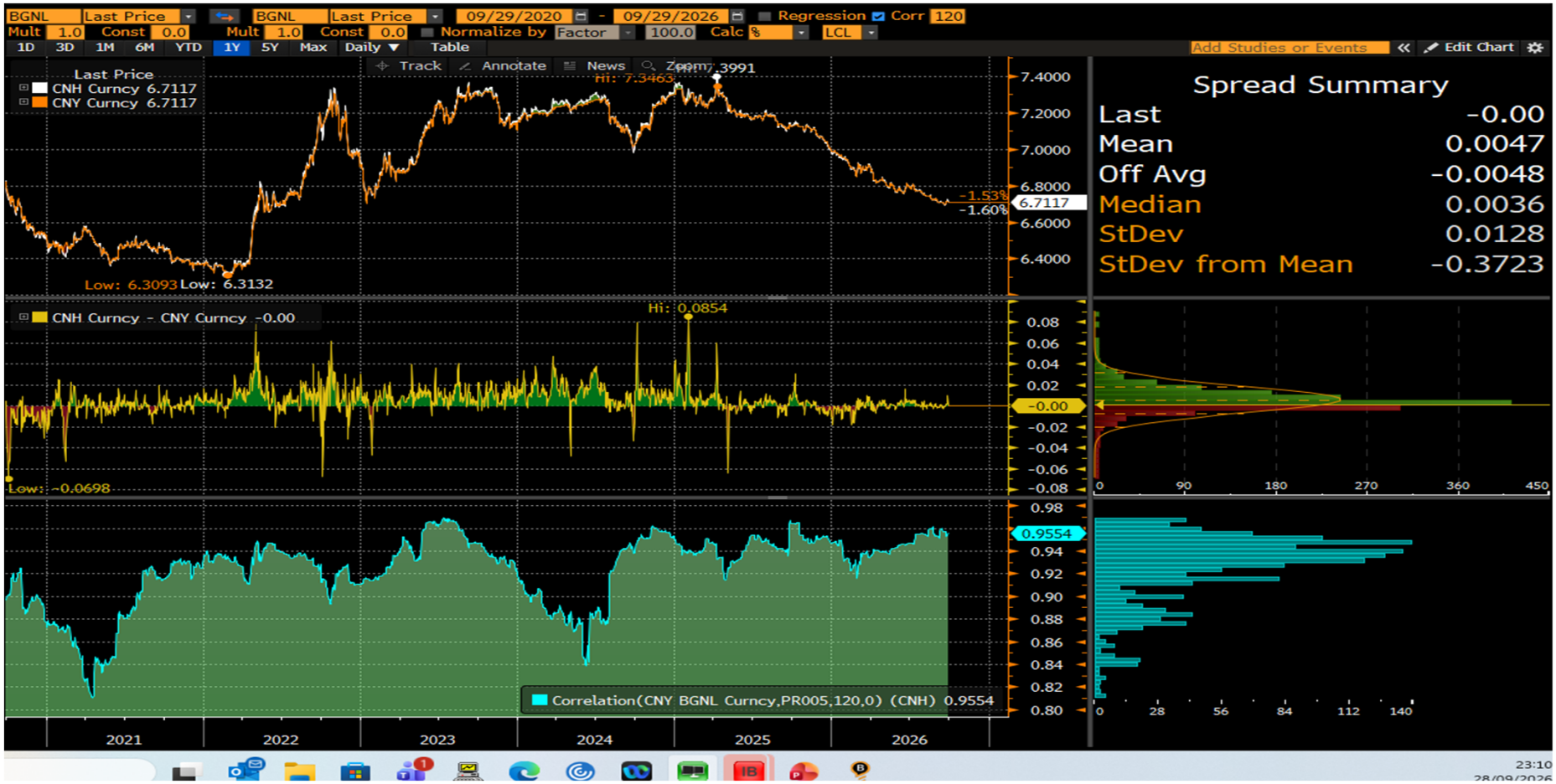
Panda Market (Onshore) – substantial progress with 'admin' hurdles



Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'FIW'

ONE COUNTRY – ONE CURRENCY?

The CNH/CNY relationship still a good barometer for China's international perception

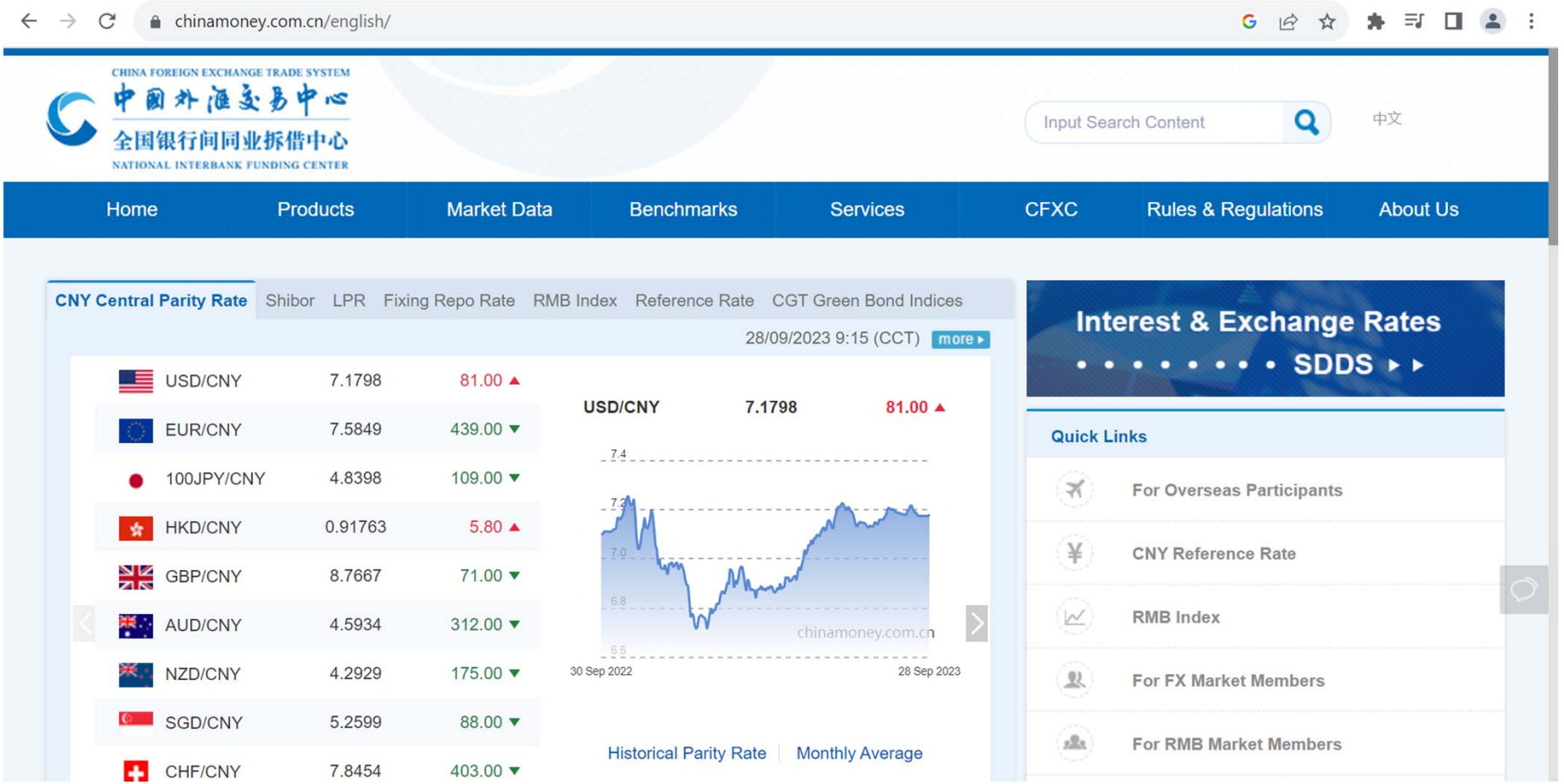


Source: Bloomberg LLP, CAIM, , September 2026
*Bloomberg function 'ISIN 1 + ISIN 2 + HS'

APPENDIX

CHINA FOREIGN EXCHANGE TRADE SYSTEM

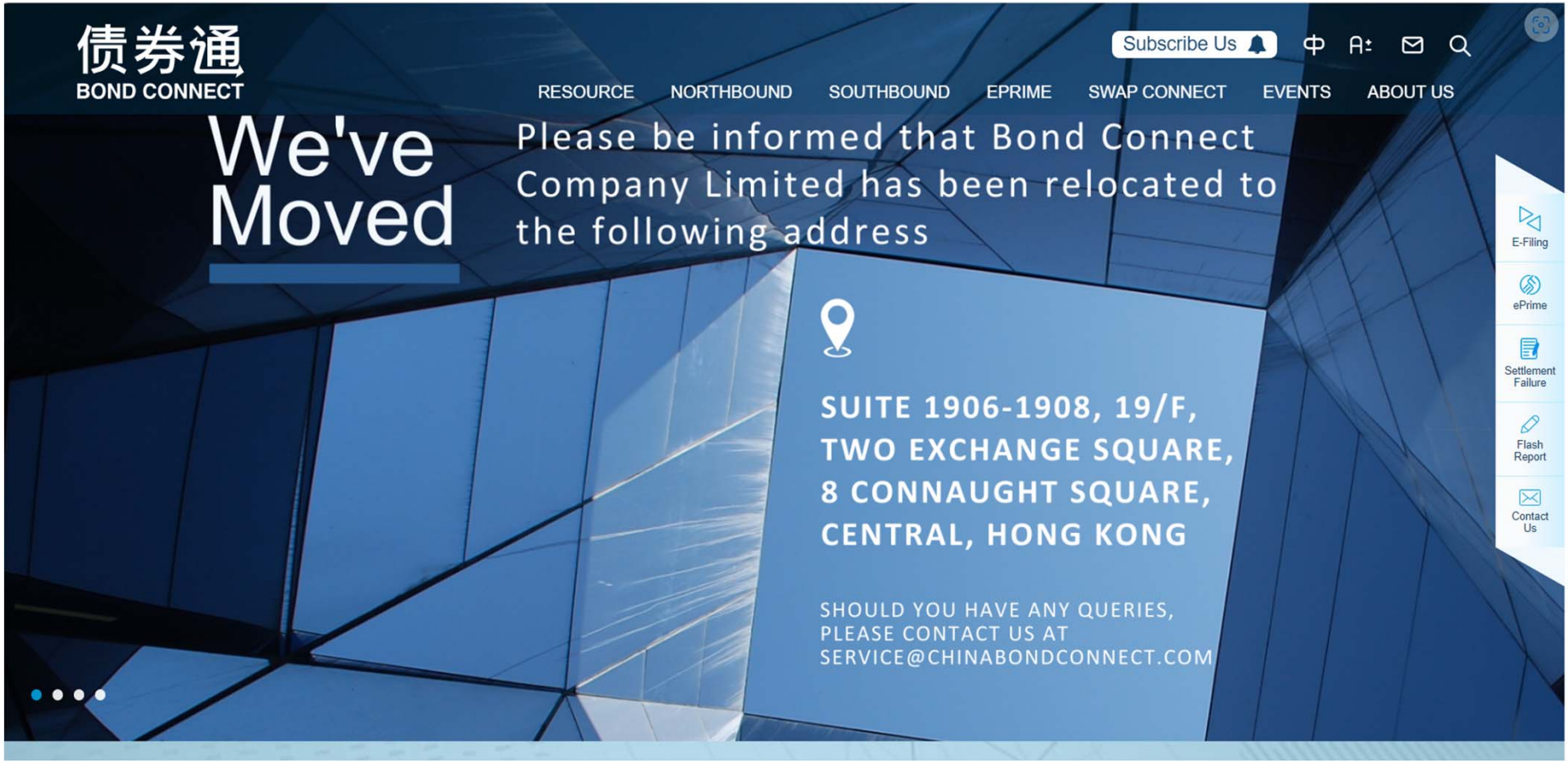
Chinamoney.com.cn is the main page to get information on products/Market Data/Rules and Regulations



Source CAIM, CFETS, September 2023

BOND CONNECT

www.chinabondconnect.com

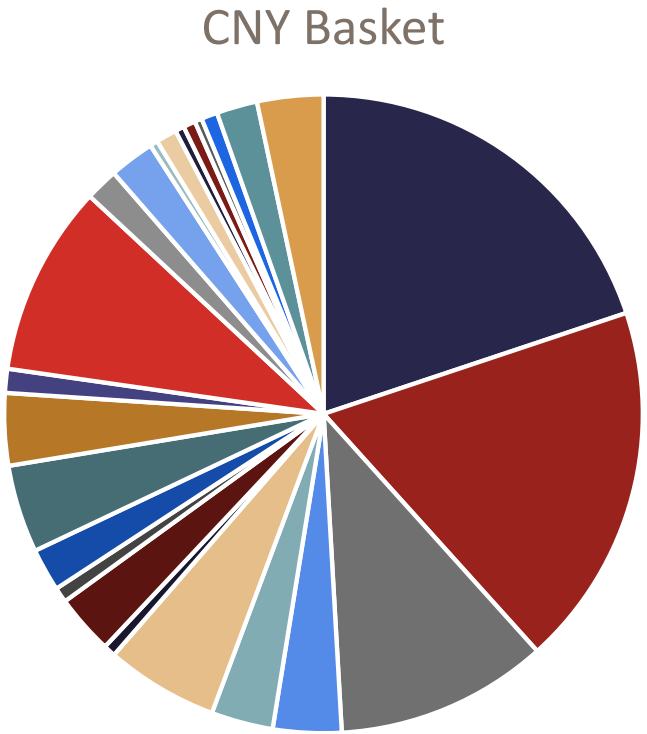


Source,; Bond connect, September 2024

RMB = CNY + CNH ?

The CNY 'World' is defined by 24 currencies

The CNY basket is announced annually, the PBOC announces the fixings each working day 09:15 GMT + 8, allowing 2% deviation



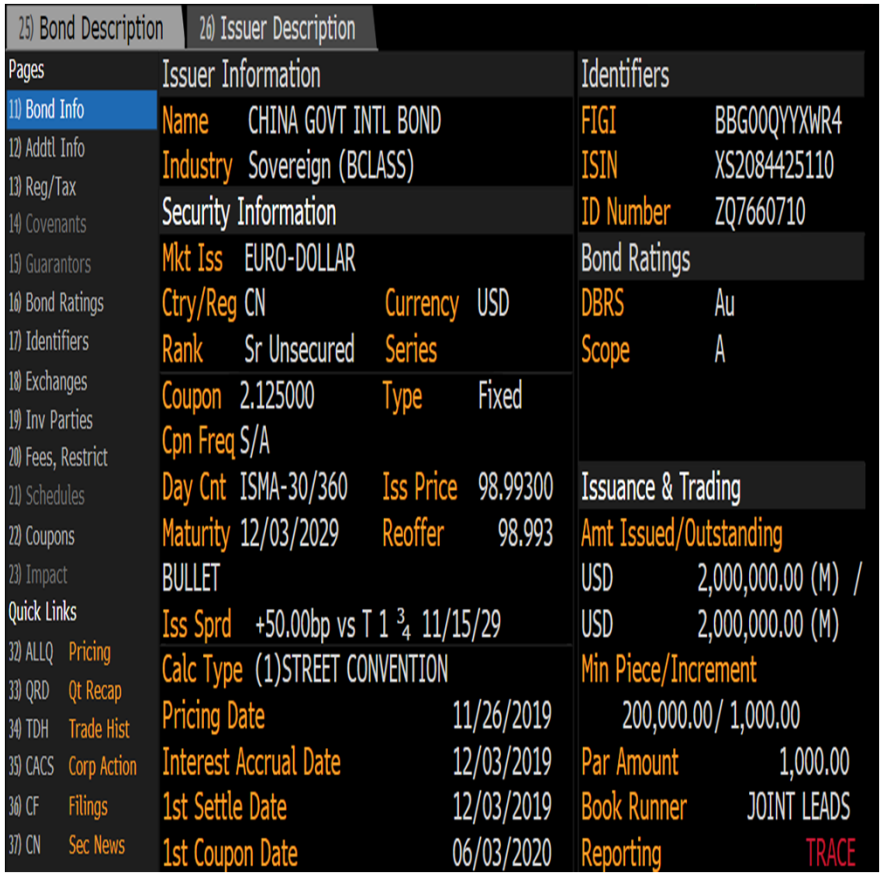
Top 7 Currencies	
USD	19.83%
EUR	18.20%
JPY	9.75%
KRW	9.50%
AUD	6.07%
MYR	4.64%
RUB	3.85%

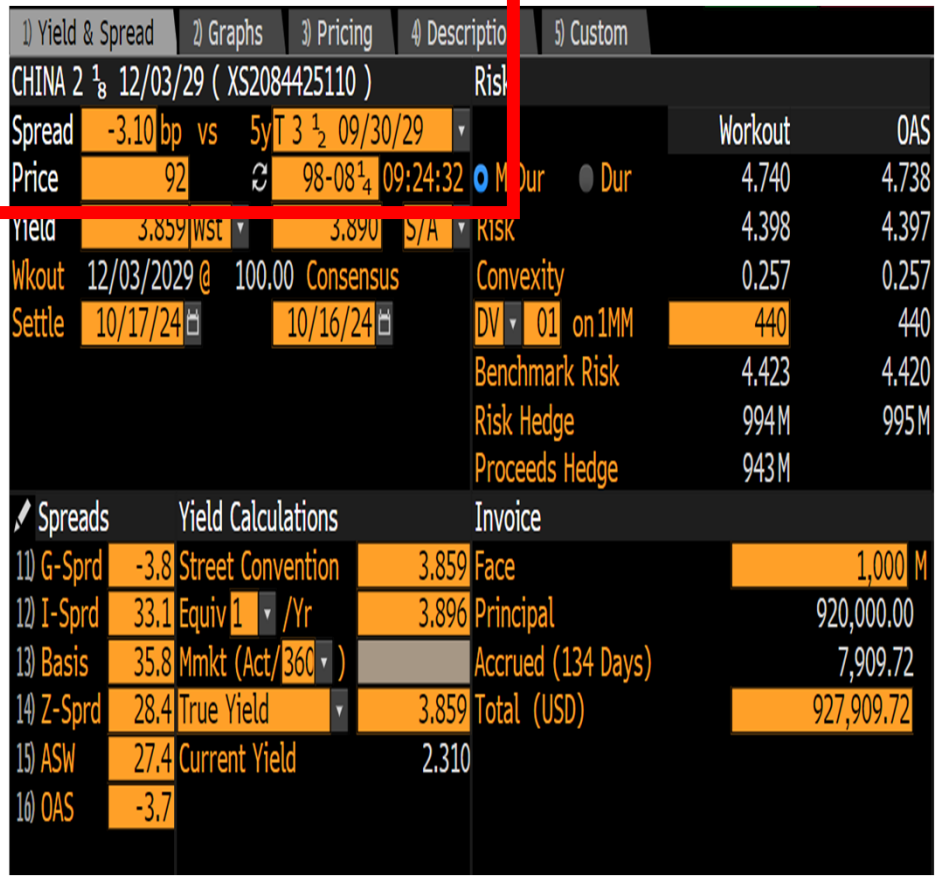
USD EUR JPY HKD GBP AUD NZD SGD CHF CAD MYR RUB
ZAR KRW AED SAR HUF PLN DKK SEK NOK TRY MXN THB

Source: PBOC, 31 December 2022

CHINA INTERNATIONAL BONDS

China ‘maintains’ curves in the USD and the EUR

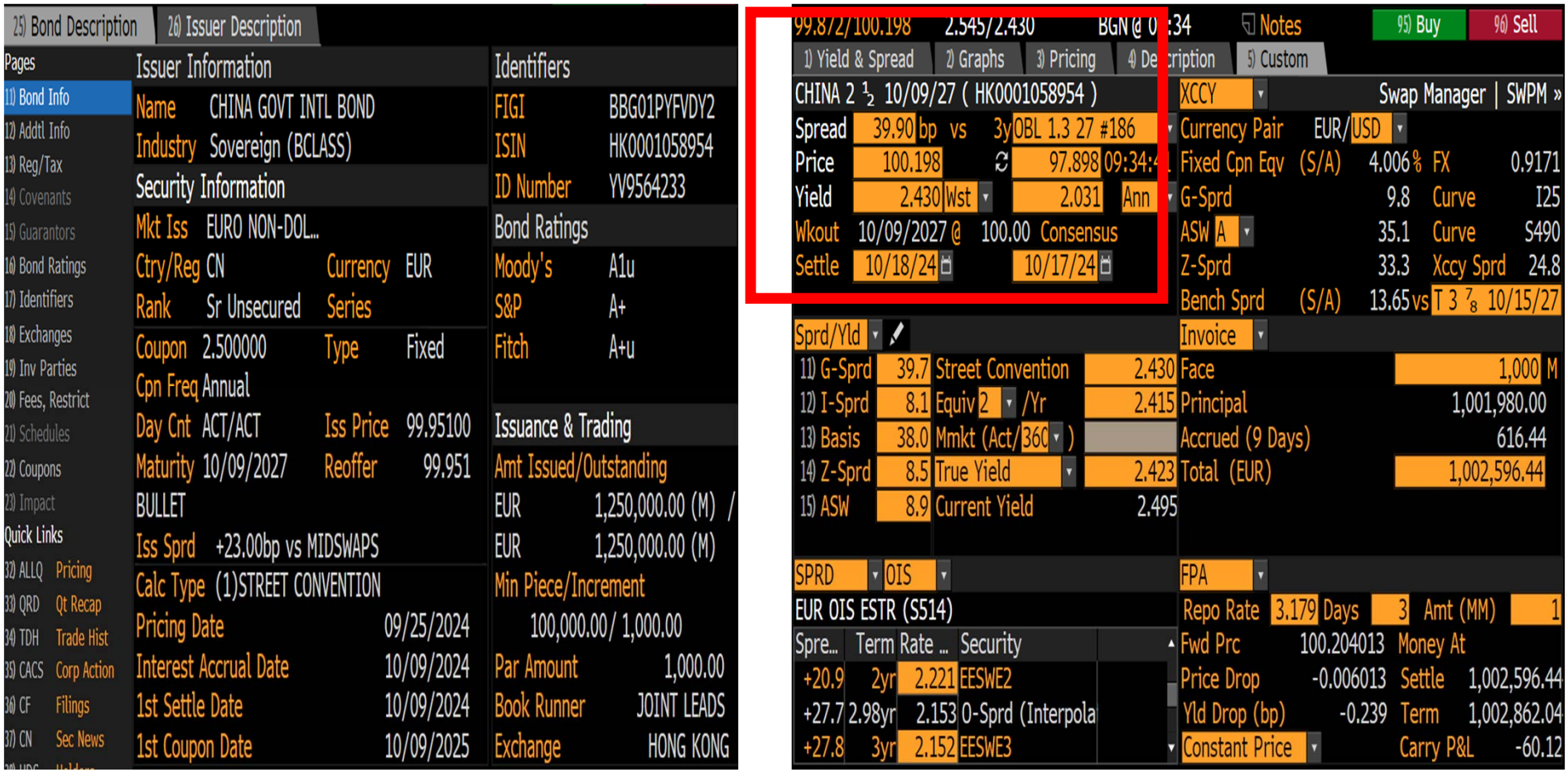




Source: Bloomberg, CAIM, , October 2024
*Bloomberg function ‘ISIN + DES’, YAS

CHINA INTERNATIONAL BONDS

China ‘maintains’ curves in the USD and the EUR



Source: Bloomberg, CAIM, , October 2024
*Bloomberg function ‘ISIN + DES’, YAS XCCY

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